

Capital Cost Allowance (CCA): A Practical Guide for Canadian Business Owners

How to Depreciate Business Assets and Maximize Your Tax Deductions

Prepared for Canadian Small Business Owners | 2026

What Is Capital Cost Allowance and Why Does It Matter?

When your business buys a long-lived asset, the CRA does not allow you to deduct the full cost in the year of purchase. Instead, you recover the cost over time through Capital Cost Allowance, Canada's tax equivalent of depreciation.

Capital Cost Allowance (CCA) is the mechanism the Canada Revenue Agency (CRA) uses to allow businesses to deduct the cost of capital assets gradually over time. Understanding which CCA class your assets fall into, the applicable rates, and the important rules surrounding CCA claims can meaningfully reduce your taxable business income each year.

Unlike accounting depreciation under ASPE or IFRS, CCA is purely a tax concept. Your book depreciation and CCA rarely match, and reconciling the two is part of preparing a proper corporate tax return or T1 business schedule.

1. CCA Classes and Rates: What You Need to Know

Every depreciable property is assigned to a CCA class, each with its own declining-balance or straight-line rate. The most common classes for small businesses include the following:

CCA Class	Description & Rate
Class 1 (4%)	Commercial buildings acquired after 1987. Most real estate used in business falls here.
Class 8 (20%)	Miscellaneous tangible capital property: furniture, tools, equipment not in another class.
Class 10 (30%)	Motor vehicles, automobiles, and some computer hardware.
Class 10.1 (30%)	Passenger vehicles costing more than the prescribed limit (~\$37,000 in 2024). Kept as separate class.
Class 12 (100%)	Small tools under \$500, computer software, certain rental property. Full deduction in the year acquired.
Class 14.1 (5%)	Goodwill and eligible capital property. Declining balance at 5%.

Class 43.1 / 43.2

Clean energy and energy-efficient equipment.
Accelerated rates of 30% and 50% respectively.

This list is not exhaustive. If you are unsure which class applies to a specific asset, CRA Guide T4002 provides a comprehensive breakdown, and a CPA can confirm the classification before your return is filed.

2. The Half-Year Rule (50% Rule)

One of the most important rules to understand is the half-year rule, also called the 50% rule. In the year you acquire a depreciable property, you can only claim half the normal CCA amount, regardless of when during the year you made the purchase.

For example, if you purchase equipment in Class 8 (20% rate) for \$50,000, your maximum CCA claim in year one is not \$10,000 as you might expect, but only \$5,000 (50% of \$10,000). Beginning in year two, the full 20% rate applies to the remaining undepreciated capital cost (UCC) balance of \$45,000.

Planning Tip: The half-year rule does not apply to property included in Classes 12, 14, 43.1, and 43.2, among others. Certain immediate expensing measures introduced in recent federal budgets also override the half-year rule for eligible businesses and property.

3. Immediate Expensing for Canadian-Controlled Private Corporations

The federal government introduced enhanced immediate expensing rules for Canadian-Controlled Private Corporations (CCPCs). Eligible CCPCs can immediately deduct up to \$1.5 million of the cost of most depreciable capital property acquired after April 18, 2021, and available for use before January 1, 2024.

Individuals and partnerships were also given similar rules for property acquired after December 31, 2021. While the immediate expensing incentive has now largely sunset for new acquisitions (as of 2024), it remains relevant when preparing or amending returns for prior years. Always verify current availability with your CPA, as these rules can be extended or modified by subsequent budgets.

4. The Undepreciated Capital Cost (UCC) and Terminal Loss

The undepreciated capital cost (UCC) is the remaining balance of an asset class after CCA deductions and disposals. This balance carries forward each year and forms the basis for future CCA claims.

When you sell all assets in a class and the UCC balance is still positive, you have a terminal loss, which is fully deductible against business income in that year. Conversely, if the proceeds from disposing of assets exceed the remaining UCC balance, you have recaptured CCA, which is added back as income.

Scenario	Tax Consequence
Sale proceeds < UCC (and class is empty)	Terminal loss — deductible in full
Sale proceeds > UCC but < original cost	Recaptured CCA — included in income

Sale proceeds > original cost	Recaptured CCA + Capital Gain on the excess
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5. CCA Is Optional — And That Matters

Many business owners do not realize that CCA is a discretionary deduction. You are not required to claim the maximum CCA in any given year. This flexibility is a powerful tax-planning tool.

For instance, if your business has a loss in a particular year, claiming additional CCA only deepens the loss, which can only be carried back three years or forward 20 years. If you expect to be in a higher tax bracket next year, it may be more advantageous to forego CCA this year and claim it in the following year when the deduction shelters income taxed at a higher rate.

Similarly, for CCPCs, managing CCA claims to keep active business income within the small business deduction limit (the first \$500,000 of income) can maximize the benefit of the 9% federal corporate tax rate rather than the general rate of 15%.

6. Passenger Vehicle Limits

Special rules apply to passenger vehicles used for business. The CRA sets an annual ceiling on the cost of a passenger vehicle eligible for CCA deductions (Class 10.1). For 2024, this limit is \$37,000 before tax. Regardless of what you paid for the vehicle, CCA can only be calculated on the lesser of the actual cost and the prescribed limit.

Each Class 10.1 vehicle must be tracked in its own separate class, and only half of the maximum CCA can be claimed in the year of acquisition and year of disposal. Lease payments for passenger vehicles are also subject to a monthly deduction ceiling.

Conclusion

Capital Cost Allowance is one of the most significant deduction mechanisms available to Canadian businesses. Selecting the correct CCA class, understanding the half-year rule, managing UCC balances, and deciding how much CCA to claim in any given year all require careful consideration of your current and anticipated tax position. Working with a CPA who understands business taxation ensures these decisions are made strategically, not just mechanically, resulting in meaningful tax savings over the life of your business.